

Austin Short-Term Rental Investing: The Airbnb, SXSW, and F1 Opportunity

Austin draws more than 28 million visitors annually. Short-term rental income during SXSW, ACL, and the F1 Grand Prix can be extraordinary — but Austin's STR regulations, neighborhood selection, and underwriting discipline separate informed investors from expensive mistakes.

Austin is one of the most visited cities in the United States. SXSW, ACL Music Festival, the Formula 1 United States Grand Prix at Circuit of the Americas, and the University of Texas football season bring millions of visitors each year.

That visitor demand creates meaningful short-term rental revenue opportunities. But Austin's STR market is also one of the most regulated, most competitive, and most location-sensitive rental environments in Texas.

Why Austin's STR Market Is Structurally Different

Austin's STR market is defined by event-driven demand spikes. The city has a small number of extremely high-revenue windows each year — SXSW in March, ACL and F1 in October — and a long tail of more moderate demand between them.

A well-positioned Austin STR during SXSW week can earn \$400 to \$800 per night. During F1 weekend, rates at well-located properties have reached \$1,000 to \$2,500 per night.

Austin's Short-Term Rental Ordinance: What Investors Must Know

Austin requires all short-term rental operators to obtain a license through the City of Austin Development Services Department. All STRs must collect and remit hotel occupancy tax — approximately 15% combined (9% city, 6% state) — and comply with life safety requirements.

Buyers considering a property for STR use should verify license availability for the specific address before purchasing. Austin's STR regulations have evolved and may continue to change.

The SXSW Revenue Window

South by Southwest runs across ten days in March, drawing 250,000 to 300,000 registered attendees. A centrally located two-bedroom Austin STR can earn \$4,000 to \$8,000 during SXSW week — approaching one month of long-term rental income in seven to ten days.

ACL and F1: The October Revenue Window

ACL Music Festival runs across two consecutive weekends at Zilker Park, drawing 75,000 attendees per day. The F1 United States Grand Prix follows in late October. Race weekend rates for well-positioned STRs commonly run \$600 to \$1,500 per night. October is Austin's single highest-revenue month for STR investors.

Best Austin Neighborhoods for STR Investment

East Austin (78702, 78721) offers strong cultural appeal and proximity to downtown. The 78704 zip code (Zilker, Bouldin, South Congress) benefits from ACL proximity and year-round lifestyle demand. Properties within two miles of the Convention Center capture strong business travel demand.

Suburban and outer-ring neighborhoods generate meaningfully lower STR revenue due to distance from primary visitor draws.

What Austin STRs Actually Earn: Revenue Benchmarks

A well-managed two-bedroom STR in East Austin or 78704 can generate \$50,000 to \$90,000 in gross annual revenue. Net income after operating expenses (management, cleaning, platform fees, insurance, licensing, and HOT remittance) typically represents 45-60% of gross revenue.

What Buyers Must Underwrite Before Purchasing an Austin STR

The most common mistake is projecting peak-season rates across the full year. A sound underwriting model should use conservative annual occupancy of 55-65%, apply realistic off-peak average daily rates, and include all operating expenses at actual cost — not estimates.

Austin's STR market rewards specific knowledge and punishes generic assumptions. Start with local expertise, underwrite conservatively, and position your property for the Austin visitor.

Frequently Asked Questions

Q: Is Airbnb / short-term rental investing profitable in Austin?

Austin's short-term rental market offers genuine income potential for well-located properties near downtown, East Austin, and the 78704 zip code. During SXSW, ACL, and F1, nightly rates can be 3 to 5 times standard levels. Well-managed two-bedroom Austin STRs in prime locations can generate \$50,000 to \$90,000 in gross annual revenue. However, operating expenses typically consume 40-55% of gross revenue, so net income projections must be modeled carefully.

Q: What are Austin's short-term rental regulations?

Austin requires all short-term rentals to be licensed through the City of Austin Development Services Department. All STR operators must collect and remit hotel occupancy tax (approximately 15% combined city and state rate) and comply with life safety requirements. Licensing availability varies by property type, ownership structure, and zoning. Buyers should verify license eligibility at the specific address before purchasing.

Q: Which Austin neighborhoods are best for Airbnb investing?

East Austin (78702, 78721), the 78704 zip code (Zilker, Bouldin, South Congress), and properties within two miles of the Convention Center generate the strongest Austin STR revenue. These areas benefit from SXSW proximity, ACL location, year-round lifestyle demand, and appeal to both leisure and business travelers. Suburban neighborhoods generate significantly lower returns.

Q: How much can you earn from an Airbnb in Austin?

A well-managed two-bedroom Austin STR in a prime neighborhood can generate \$50,000 to \$90,000 in gross annual revenue, with peak earnings concentrated around SXSW in March, ACL in October, and the F1 Grand Prix in late October. After operating expenses, realistic net income is approximately 45-60% of gross. Use conservative annual occupancy assumptions of 55-65%.

Q: What events drive the highest Austin short-term rental rates?

SXSW in March pushes nightly rates 3 to 5 times standard levels. The Formula 1 United States Grand Prix in late October/early November generates the highest per-night rates of the year. The Austin City Limits Music Festival across two October weekends significantly boosts 78704 STR demand. These three events collectively define the annual revenue calendar for Austin STR

investors.

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